

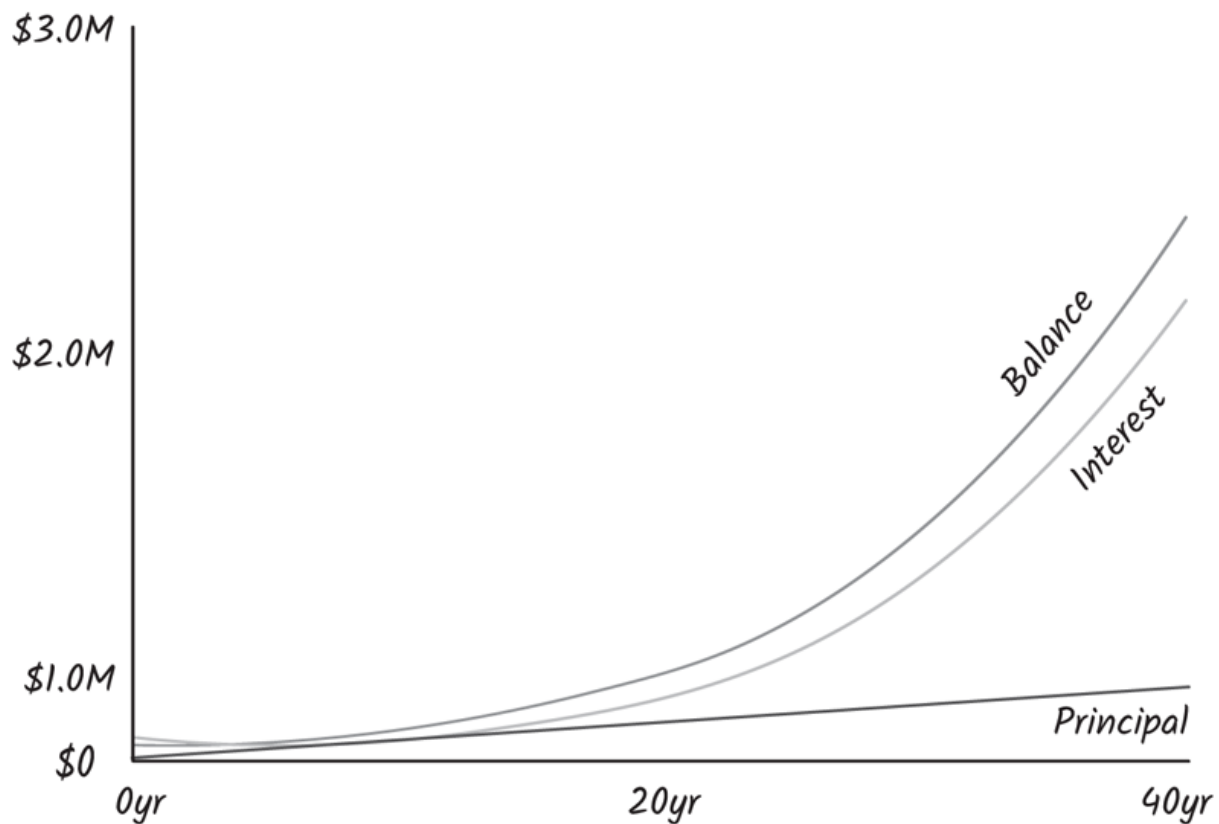


Figure 1.2: balance accumulation graph (not taking into account tax and future dollars)

Here's another example. If Devi puts away \$600 a month in cash every year for 40 years, she'd have \$288 000. Not bad. If she kept it in a savings account offering 2 per cent interest she'd have \$438 866 — even better. But if she invested that money, assuming the stock market returned an average of 8 per cent annually (the market usually returns 7 to 10 per cent) for that same time period (ignoring inflation for all examples), she'd have made \$1.94 million thanks to the compounding effect of the stock market. That's a \$1.66 million difference in wealth for Devi, and it's too life-changing to ignore.

As with [figure 1.2](#), you can see the value of having more years in the stock market. Due to compounding, the value of investing \$1 in your twenties is more powerful than investing \$10 in your forties.

And the thing is, you don't need a lot to start off with.